

Fall 2009 MIDTerm MGT402 s3a solved

MIDTERM EXAMINATION
Fall 2009
MGT402- Cost & Management Accounting (Session - 3)
<http://groups.google.com/group/vuZs>

Time: 60 min
M - 50



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Question No: 1 (M - 1) . (<http://www.vuzs.info>)

Selected information for a company for the year 2005 follows:

Particulars	Rs.
Cost of goods sold	30,000
Inventory, January 1	9,000
Inventory, December 31	7,800

What was the inventory turnover ratio?

- ▶ **3.57 times**
- ▶ 3.67 times
- ▶ 3.85 times
- ▶ 5.36 times

Question No: 2 (M - 1) . (<http://www.vuzs.info>)

The chief financial officer is also known as the:

- ▶ Controller
- ▶ Staff accountant
- ▶ Auditor
- ▶ **Finance director**

Question No: 3 (M - 1) . (<http://www.vuzs.info>)

A typical factory overhead cost is:

- ▶ Distribution
- ▶ Internal audit
- ▶ **Compensation of plant manager**
- ▶ Design

Question No: 4 (M - 1) . (<http://www.vuzs.info>)

Which of the following is a period cost?

- ▶ Direct materials
- ▶ Indirect materials
- ▶ Factory utilities
- ▶ **Administrative expenses**

Question No: 5 (M - 1) . (<http://www.vuzs.info>)

Which of the following is deducted from purchases in order to get the value of Net purchases?

- ▶ **Purchases returns**
- ▶ Carriage inward
- ▶ Custom duty
- ▶ All of the given options

Question No: 6 (M - 1) . (<http://www.vuzs.info>)

Given data that:

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Work in Process Opening Inventory	Rs. 20,000
Work in Process Closing Inventory	10,000
Finished goods Opening Inventory	30,000
Finished goods Closing Inventory	50,000
Cost of goods sold	190,000

What will be the value of total manufactured cost?

- ▶ **Rs. 200,000**
- ▶ Rs. 210,000
- ▶ Rs. 220,000
- ▶ Rs. 240,000

Question No: 7 (M - 1) . (<http://www.vuzs.info>)

If, Sales = Rs. 1200,000

Markup = 20% of cost

What would be the value of Gross profit?

- ▶ **Rs. 200,000**
- ▶ Rs. 100,000
- ▶ Rs. 580,000
- ▶ Rs. 740,000

Question No: 8 (M - 1) . (<http://www.vuzs.info>)

Weighted average rate per unit is calculated by which of the following formula?

- ▶ Cost of goods issued/number of units issued
- ▶ **Total cost/total units**
- ▶ Cost of goods manufactured/closing units
- ▶ Cost of goods sold/total units

Question No: 9 (M - 1) . (<http://www.vuzs.info>)

Average consumption x Emergency time is a formula for the calculation of:

- ▶ Lead time
- ▶ Re-order level
- ▶ Maximum consumption
- ▶ **Danger level**

Question No: 10 (M - 1) . (<http://www.vuzs.info>)

If EOQ = 360 units, order costs are Rs. 5 per order, and carrying costs are Rs. 0.20 per unit, what is the usage in units?

- ▶ **2,592 units**
- ▶ 25,920 units
- ▶ 18,720 units
- ▶ 129,600 units

Question No: 11 (M - 1) . (<http://www.vuzs.info>)

Material requisition is a document that supports the requirement of the material. This document is sent to store incharge and approved by:

- ▶ Store manager
- ▶ **Production manager**
- ▶ Supplier manager
- ▶ Purchase manager

Question No: 12 (M - 1) . (<http://www.vuzs.info>)

Direct Labor is an element of:

- ▶ Prime cost
- ▶ Conversion cost
- ▶ Total production cost
- ▶ **All of the given options**

Question No: 13 (M - 1) . (<http://www.vuzs.info>)

Basic pay + bonus pay + overtime payment is called:

- ▶ Net pay
- ▶ **Gross pay**
- ▶ Take home pay
- ▶ All of the given options

Question No: 14 (M - 1) . (<http://www.vuzs.info>)

Payslip contains all **EXCEPT**:

- ▶ Gross pay
- ▶ Statutory & non- statutory deductions
- ▶ Net pay
- ▶ **Tax rebates**

Question No: 15 (M - 1) . (<http://www.vuzs.info>)

Which of the following is/are the basic object/s of job analysis?

- ▶ Determination of wage rates
- ▶ **Ascertain the relative worth of each job**
- ▶ Breaking up job into its basic elements
- ▶ All of the given options

Question No: 16 (M - 1) . (<http://www.vuzs.info>)

If, Basic Salary	Rs.10,000
Per Piece commission	Rs. 5
Unit sold	700 pieces

What will be the total Salary?

- ▶ Rs. 3,500
- ▶ **Rs. 13,500**
- ▶ Rs. 10,000
- ▶ Rs. 6,500

Question No: 17 (M - 1) . (<http://www.vuzs.info>)

According to Rowan premium plan, which of the following formula is used to calculate the bonus rate?

- ▶ **(Time saved/time allowed) x 100**
- ▶ (Time allowed/time saved) x 100
- ▶ (Actual time taken/time allowed) x 100
- ▶ (Time allowed/actual time taken) x 100

Question No: 18 (M - 1) . (<http://www.vuzs.info>)

All of the following are cases of labor turnover **EXCEPT**:

- ▶ Workers appointed against the vacancy caused due to discharge or quitting of the organization

- ▶ Workers employed under the expansion schemes of the company
- ▶ The total change in the composition of labor force
- ▶ **Workers retrenched**

Question No: 19 (M - 1) . (<http://www.vuzs.info>)

All of the following are terms used to denote Factory Overheads **EXCEPT**:

- ▶ Factory burden
- ▶ Factory expenses
- ▶ Supplementary costs
- ▶ **Conversion costs**

Question No: 20 (M - 1) . (<http://www.vuzs.info>)

The term cost allocation is described as:

- ▶ **The costs that can be identified with specific cost centers.**
- ▶ The costs that can not be identified with specific cost centers.
- ▶ The total cost of factory overhead needs to be distributed among specific cost centers.
- ▶ None of the given options

Question No: 21 (M - 1) . (<http://www.vuzs.info>)

The term Cost apportionment is referred to:

- ▶ The costs that can not be identified with specific cost centers.
- ▶ The total cost of factory overhead needs to be distributed among specific cost centers but must be divided among the concerned department/cost centers.
- ▶ **The total cost of factory overhead needs to be distributed among specific cost centers.**
- ▶ None of the given options

Question No: 22 (M - 1) . (<http://www.vuzs.info>)

Which of the following statement is true regarding Repeated distribution method?

- ▶ **The re-allocation continues until the numbers being dealt with become very small**
- ▶ The re-allocation continues until the numbers being dealt with become very Large
- ▶ The re-allocation continues until the numbers being dealt with become small
- ▶ None of the given options

Question No: 23 (M - 1) . (<http://www.vuzs.info>)

Which of the following statement is **TRUE** about FOH applied rates?

- ▶ They are used to control overhead costs
- ▶ They are based on actual data for each period
- ▶ **They are predetermined in advance for each period**
- ▶ None of the given options

Question No: 24 (M - 1) . (<http://www.vuzs.info>)

Nelson Company has following FOH detail.

	<u>Budgeted (Rs.)</u>	<u>Actual (Rs.)</u>
Production Fixed overheads	36,000	39,000
Production Variable overheads	9,000	12,000
Direct labor hours	18,000	20,000

What would be the applied rate.

- ▶ Rs.2.00 per labor hour
- ▶ **Rs.2.50 per labor hour**
- ▶ Rs.2.55 per labor hour
- ▶ Rs.0.50 per labor hour

Question No: 25 (M - 1) . (<http://www.vuzs.info>)

Nelson Company has following FOH detail.

	<u>Budgeted (Rs.)</u>	<u>Actual (Rs.)</u>
Production Fixed overheads	36,000	39,000
Production Variable overheads	9,000	12,000
Direct labor hours	18,000	20,000

What would be the amount of under/over applied FOH

- ▶ Under applied by Rs.1,000
- ▶ **Over applied by Rs.1,000**
- ▶ Under applied by Rs.11,000
- ▶ Over applied by Rs.38,000

$$36000/18000=2$$

$$20000*2= 40000$$

Actual Production Fixed overheads - Budgeted

$$=39000 - 40000$$

$$= - 1000$$

Question No: 26 (M - 1) . (<http://www.vuzs.info>)

Capacity Variance / Volume Variance arises due to

- ▶ **Difference between Absorbed factory overhead and budgeted factory for capacity attained**
- ▶ Difference between Absorbed factory overhead and absorption rate
- ▶ Difference between Budgeted factory overhead for capacity attained and FOH actually incurred
- ▶ None of the given options

Question No: 27 (M - 1) . (<http://www.vuzs.info>)

Which of the following statements is **TRUE**?

▶ **Companies that produce many different products or services are more likely to use job-order costing systems than process costing systems**

- ▶ Costs are traced to departments and then allocated to units of product when job-order costing is used
- ▶ Job-order costing systems are used by service firms only and process costing systems are used by manufacturing concern only
- ▶ Companies that produce many different products or services are more likely to use process costing systems than Job order costing systems

Question No: 28 (M - 1) . (<http://www.vuzs.info>)

Which of the following would be considered a major aim of a job order costing system?

- ▶ To determine the costs of producing each job
- ▶ To compute the cost per unit
- ▶ To include separate records for each job to track the costs
- ▶ **All of the given options**

Question No: 29 (M - 1) . (<http://www.vuzs.info>)

Examples of industries that would use process costing include all of the following **EXCEPT**:

- ▶ Beverages
- ▶ Food
- ▶ **Hospitality**
- ▶ Petroleum

Question No: 30 (M - 1) . (<http://www.vuzs.info>)

At the end of the accounting period, a production department manager submits a production report that shows all of the following **EXCEPT**:

- ▶ Number of units in the beginning work in process
- ▶ Number of units sold
- ▶ Number of units in the ending work in process and their estimated stage of completion
- ▶ Number of units completed

Question No: 31 (M - 1) . (<http://www.vuzs.info>)

Which cost accumulation procedure is best suited to a continuous mass production process of similar units?

- ▶ Job order costing
- ▶ Process costing
- ▶ Standard costing
- ▶ Actual costing

Question No: 32 (M - 1) . (<http://www.vuzs.info>)

LG has incurred cost of Rs. 60,000 for material. Further it incurred Rs. 35,000 for labor and Rs. 70,000 for factory overhead. There was no beginning and ending work in process. 7,500 units were completed and transferred out. What would be the unit cost for material?

- ▶ Rs. 22
- ▶ Rs. 16
- ▶ Rs. 14
- ▶ Rs. 8

Question No: 33 (M - 1) . (<http://www.vuzs.info>)

Inventory of Rs. 96,000 was purchased during the year. The cost of goods sold was Rs. 90,000 and the ending inventory was Rs. 18,000. What was the inventory turnover ratio for the year?

- ▶ 5.0 times
- ▶ 5.3 times
- ▶ 6.0 times
- ▶ 6.4 times

Question No: 34 (M - 1) . (<http://www.vuzs.info>)

During the year 60,000 units put in to process. 55,000 units were completed. Closing WIP were 25,000 units, 40% completed. How much the equivalent units of output would be produced?

- ▶ 25,000 units
- ▶ 10,000 units
- ▶ 65,000 units
- ▶ 80,000 units

Question No: 35 (M - 1) . (<http://www.vuzs.info>)

If the cost per equivalent unit is Rs. 1.60. The equivalent units of output are 50,000. The WIP closing stock is 10,000 units, 40% completed. What will be the value of closing stock?

- ▶ Rs. 9,600
- ▶ Rs. 80,000
- ▶ Rs. 16,000
- ▶ Rs. 6,400

Question No: 36 (M - 1) . (<http://www.vuzs.info>)

Information concerning the materials used in the Mixing department in June follows:

Detail	Units
WIP June 01	12000
Units put in process	54000
Units completed	58000

Material is charged to production at 0.53 per unit. What are the materials cost of the work in process at June 30?

- ▶ Rs. 4,000
- ▶ Rs. 4,240
- ▶ Rs. 5,333
- ▶ Rs. 34,980

Question No: 37 (M - 1) . (<http://www.vuzs.info>)

EOQ is the order quantity that _____ over our planning horizon.

- ▶ Minimizes total ordering costs
- ▶ Minimizes total carrying costs
- ▶ Minimizes total inventory costs
- ▶ Minimize the required safety stock

Question No: 38 (M - 1) . (<http://www.vuzs.info>)

Which of the following is **NOT** an assumption of the basic economic-order quantity model?

- ▶ Annual demand is known
- ▶ Ordering cost is known
- ▶ Carrying cost is known
- ▶ Quantity discounts are available

Question No: 39 (M - 1) . (<http://www.vuzs.info>)

If the cost of an item of overhead expenditure is shared amongst many departments this would be an example of:

- ▶ Apportionment
- ▶ Allocation
- ▶ Re-apportionment
- ▶ Absorption

Question No: 40 (M - 1) . (<http://www.vuzs.info>)

A company has calculated that volume variance for a given month was favourable. This could have been caused by which of the following factors?

- ▶ The number of rejects were lower than normal
- ▶ Machine breakdowns were lower than normal
- ▶ No delays were experienced in the issuing of material to production
- ▶ All of the given options

Question No: 41 (M - 10)

The Mars Company applies factory overheads to production by means of pre-determined rate based on expected actual capacity. Factory overhead at expected actual capacity of 120,000 hours is Rs. 240,000 of which Rs. 60,000 is fixed and Rs. 180,000 is variable. Normal capacity of the company is 150,000 hours. The actual capacity attained during the year was 100,000 hours and actual factory overhead was Rs. 180,000.

Calculate: Pre-determined overhead rate based on expected actual capacity and normal capacity.

1. Over-applied or under-applied factory overhead based on rate used by the company.
2. Budget variance and volume variance.

Pre-determined overhead rate based on expected actual capacity

Fixed FOH rate = fixed FOH cost/ expected actual capacity = 60000/120000 = 0.50

Add variable FOH rate =

Variable FOH cost for expected actual capacity/ expected actual capacity
= 180000/120000 = 1.50

FOH applied rate based on expected actual capacity 2.00

Pre-determined overhead rate based on normal capacity

Fixed FOH rate = fixed FOH cost/ normal capacity = 60000/150000 = 0.40

Add variable FOH rate = 1.50

Pre-determined overhead rate based on normal capacity = 1.90

1) . Over-applied or under-applied factory overhead based on expected actual capacity

Actual FOH cost = 180000

Applied FOH cost

= actual capacity * FOH rate

= 100000 * 2.00 = 200000

Over applied FOH cost 20000

2) Budget variance at expected actual capacity rate

Actual FOH cost = 180000

Estimated FOH cost at actual capacity

Fixed FOH cost = 60000

+ Variable FOH cost

= actual capacity * variable rate

= 100000 * 1.50 = 150000 210000

Favorable 30000

Volume variance of expected actual capacity rate

Estimated FOH cost at actual capacity 210000

Applied FOH cost 200000

Unfavorable (10000)

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